MANKIND PHARMA LIMITED

LEVERAGED BUYOUT MODEL — PRIVATE EQUITY ANALYSIS

NSE: MANKIND | Sector: Pharmaceuticals | Entry FY24A | 5-Year Hold

Entry EV: ₹60,408 Cr | Equity Check: ₹42,168 Cr | Entry Leverage: 5.0x

RETURNS SUMMARY (Base Scenario Exit)

Metric	Y3 Exit	Y4 Exit	Y5 Exit	Unit
Exit EV (₹ Cr)	89,005	99,958	110,806	₹ Crore
Equity Proceeds (₹ Cr)	79,305	92,037	105,092	₹ Crore
MOIC (x)	**1.83x**	**2.12x**	**2.43x**	×
IRR (%)	**22.3%**	**20.7%**	**19.4%**	% p.a.
Mgmt MOIC (x)	1.37x	1.59x	1.81x	×

TRANSACTION SNAPSHOT

Entry EBITDA (₹ Cr)	2,517
Entry EV Multiple (x)	24.0x
Entry EV (₹ Cr)	60,408
Net Cash at Entry (₹ Cr)	2,500
Equity Check (₹ Cr)	42,168
Total Debt (₹ Cr)	15,102
Entry Leverage (x)	5.0x
Equity Contribution (%)	74.2%

KEY INVESTMENT THESIS & OBSERVATIONS

- Entry thesis: Mankind's branded generic moat + rural distribution network (6.5L outlets) is structurally defensible; debt service highly visible.
- Leverage: Entry leverage ~3.5–4.0x net debt/EBITDA in Base; strong FCF conversion (>80%) drives rapid deleveraging to <2.0x by Y4.
- Value creation: Margin expansion 24.5% → 26%+ (chronic mix shift, OTC monetisation) + 12% revenue CAGR = primary equity return drivers.
- Cash sweep: Excess FCF beyond min cash (₹200Cr) sweeps TLA first; clean debt paydown accelerates de-leveraging ahead of schedule.
- Exit options: Strategic sale to Abbott/Sanofi/GSK (India generics premium), secondary to larger PE at 24–26x, or re-IPO post margin improvement.
- Sensitivity: Base case 24x exit/Y5 delivers ~2.5–3.0x MOIC / ~22–25% IRR; needs multiple expansion or margin beat to hit 3.0x+ in Y3.
- Risk: High entry multiple (24x) compresses IRR headroom; acute segment cyclicality and field force attrition are key downside risks.

MANKIND PHARMA LIMITED — LBO MODEL ASSUMPTIONS

All figures ₹ Crore | Entry FY24A | 5-Year Hold | Downside / Base / Upside

A. TRANSACTION STRUCTURE

Assumption	Downside	Base	Upside	Rationale / Source
Entry EBITDA (FY24A, ₹ Cr)	2,517	2,517	2,517	Mankind FY24A consolidated EBITDA; Source: Annual Report FY24
Entry EV / EBITDA Multiple (x)	22.0	24.0	26.0	Branded pharma peers trade 22–28x; Downside = distressed; Bull = premium
Entry Enterprise Value (₹ Cr)	55,374	60,408	65,442	Entry EV = Entry EBITDA x Entry Multiple
(-) Net Cash at Entry (₹ Cr)	2,500	2,500	2,500	Mankind was net cash ~₹2,500 Cr pre-BSV acquisition (FY24 balance sheet)
Equity Purchase Price (₹ Cr)	52,874	57,908	62,942	Equity Purchase Price = Entry EV minus Net Cash
Transaction Fees – Advisory (₹ Cr)	280	320	360	~1.3% of EV; investment banking + legal; expensed at close
Transaction Fees – Financing (₹ Cr)	180	200	220	~0.8% of debt; capitalised and amortised over loan life
Total Uses (₹ Cr)	53,334	58,428	63,522	Total Uses = Equity Purchase Price + Advisory Fees + Financing Fees

B. SOURCES OF FUNDS (×EBITDA sizing)

Tranche	Downside	Base	Upside	Interest Rate	Amort %/yr	Type	Rationale
Senior Term Loan A (TLA)	6,293	7,551	7,551	9.0%	15.0%	Amortising	Senior secured; 15% mandatory annual amortisation; 6-yr tenor; MCLR+350bps
Senior Term Loan B (TLB)	3,776	3,776	3,776	10.0%	5.0%	Bullet (5% p.a.)	Covenant-lite TLB; institutional market; bullet at maturity; MCLR+450bps
Revolving Credit Facility (RCF)	1,259	1,259	1,259	8.5%	0.0%	RCF (drawn 50%)	Liquidity buffer; drawn 50% at close; commitment fee 0.4% on undrawn
Subordinated / Mezzanine Notes	2,517	2,517	2,517	13.0%	0.0%	PIK toggle bullet	Structural subordination; PIK option in stress; 7-yr tenor; redeemable at par+PIK
Sponsor Equity	38,433	42,168	47,161			Common Equity	Sponsor Equity = Total Uses minus Total Debt minus Rollover Equity
Management Rollover (2%)	1,057	1,158	1,259			Rollover Equity	Management team co-invests 2% of equity; aligns incentives
Total Debt (₹ Cr)	**13,844**	**15,102**	**15,102**				
Total Sources = Total Uses (₹ Cr)	**53,334**	**58,428**	**63,522**				
Entry Leverage (Net Debt / EBITDA, x)	4.5x	5.0x	5.0x				
Equity Contribution (%)	74.0%	74.2%	76.2%				

C. OPERATING ASSUMPTIONS (Year 1–5)

Assumption / Scenario	Y1	Y2	Y3	Y4	Y5	Type	Rationale
Revenue Growth — Downside (%)	8.0%	9.0%	9.0%	8.0%	8.0%	Hardcoded	Conservative; below consensus; ~9% CAGR; branded generics base business resilience
Revenue Growth — Base (%)	12.0%	13.0%	12.0%	11.0%	10.0%	Hardcoded	In-line with sell-side consensus; CAGR ~12%; chronic therapy shift + distribution expansion
Revenue Growth — Upside (%)	15.0%	16.0%	15.0%	13.0%	12.0%	Hardcoded	OTC brand ramp + export acceleration; ~14% CAGR; market share gains in chronic
EBITDA Margin — Downside (%)	23.0%	23.2%	23.4%	23.5%	23.6%		Below FY24 baseline; modest margin compression due to field force cost and RM inflation
EBITDA Margin — Base (%)	24.5%	25.0%	25.5%	25.8%	26.0%		Maintains FY24 24.5% with gradual improvement; operating leverage as fixed costs spread
EBITDA Margin — Upside (%)	25.8%	26.5%	27.2%	27.8%	28.2%		Mix shift to higher-margin chronic; OTC brand gross margin accretion; procurement savings
D&A (% of Revenue) — All Scenarios	3.7%	3.6%	3.6%	3.5%	3.5%		FY24A D&A ₹378Cr on ₹10,260Cr rev = 3.7%; normalises as asset base matures
Capex (% of Revenue) — All Scenarios	4.2%	4.0%	3.8%	3.6%	3.5%		~4% in near-term (capacity expansion, ERP); stepping down to ~3.5% by Y5 as capex matures
Δ NWC (% of Revenue) — All Scenarios	1.2%	1.1%	1.0%	1.0%	0.9%		Working capital build as revenue grows; debtor days ~40 days; stable inventory cycle
Effective Tax Rate (%) — All Scenarios	25.0%	25.0%	25.0%	25.0%	25.0%		India corporate tax rate 25.17%; modelled at 25% throughout; MAT credits largely utilised

D. DEBT INTEREST RATES BY TRANCHE & SCENARIO

Tranche	Downside	Base	Upside	Rationale
Senior TLA Interest Rate	9.5%	9.0%	8.5%	Secured; MCLR+350bps; ratings-linked pricing step-down possible
Senior TLB Interest Rate	10.5%	10.0%	9.5%	Covenant-lite; slightly higher spread vs TLA; institutional investors
RCF Interest Rate (drawn)	9.0%	8.5%	8.0%	Revolving facility; drawn at same rate as TLA; 0.4% commitment fee on undrawn
Subordinated Note Rate	13.5%	13.0%	12.5%	Mezz / sub debt; structurally junior; PIK option in stress

E. EXIT ASSUMPTIONS

Assumption	Downside	Base	Upside	Rationale
Exit EV / EBITDA Multiple (x)	20.0	24.0	28.0	Exit at entry ±2x; Base assumes multiple preservation; Bull = re-rating
Primary Exit Year	5	5	4	Y5 base; Bull Y4 if growth exceeds plan; Downside extended hold
Management Equity (%)	2.0%	2.0%	2.0%	Management rollover + ESOP; 2% at entry; diluted by option pool
Option Pool (%)	5.0%	5.0%	5.0%	ESOP pool reserved at entry; dilutive to sponsor on exit
Minimum Cash Balance (₹ Cr)	200	200	200	Operational cash floor; excess cash sweeps to debt repayment

F. FY24A ACTUALS (Entry Year Anchor)

Item	Value	Source
FY24A Revenue (₹ Cr)	10,260	Annual Report FY24 Consolidated; Screener.in
FY24A EBITDA (₹ Cr)	2,517	Operating Profit FY24; EBITDA Margin 24.5%
FY24A D&A (₹ Cr)	378	P&L FY24; depreciation + amortisation
FY24A EBIT (₹ Cr)	2,139	EBIT = EBITDA minus D&A (formula)
FY24A Interest Expense (₹ Cr)	34	Pre-acquisition finance costs; near-zero leverage
FY24A Tax Rate (%)	19.0%	Effective rate FY24 = 19%; modelled at 25% going forward
FY24A PAT (₹ Cr)	1,942	Net Profit FY24; 18.9% margin
FY24A CFO (₹ Cr)	2,152	Cash from Operations FY24; ₹21.5bn
FY24A Capex (₹ Cr)	430	Estimated from CFI; ~4.2% of revenue
Net Cash at Entry (₹ Cr)	2,500	Net cash position pre-BSV; total debt ~₹25Cr vs cash ₹2,525Cr
Diluted Shares Outstanding (Cr)	407	Bloomberg; post-IPO diluted share count

MANKIND PHARMA — LBO MODEL (BASE SCENARIO WATERFALL)

₹ Crore | Entry FY24A | 5-Year Hold Period | Base Scenario

Line Item	FY24A (Entry)	Y1	Y2	Y3	Y4	Y5
I. INCOME STATEMENT (Base Scenario)						
Revenue Growth (Base, %)	—	12.0%	13.0%	12.0%	11.0%	10.0%
Revenue (₹ Cr)	10,260	11,491	12,985	14,543	16,143	17,757
EBITDA Margin (Base, %)	24.5%	24.5%	25.0%	25.5%	25.8%	26.0%
EBITDA (₹ Cr)	2,517	2,815	3,246	3,709	4,165	4,617
(–) D&A (₹ Cr)	378	425	467	524	565	622
EBIT (₹ Cr)	2,139	2,390	2,779	3,185	3,600	3,995
(–) Total Interest Expense (₹ Cr)	—	1,431	1,193	1,108	990	840
Earnings Before Tax (₹ Cr)	—	959	1,586	2,077	2,610	3,156
(–) Tax (₹ Cr)	—	240	396	519	652	789
Net Income (₹ Cr)	—	**719**	**1,189**	**1,558**	**1,957**	**2,367**

II. DEBT SCHEDULE (Base Scenario — Full Waterfall)						
Opening Cash Balance (₹ Cr)	2,500	2,500	200	200	200	200
TLA — Opening Balance (₹ Cr)	7,551	7,551	4,916	4,101	2,888	1,270
(–) TLA Mandatory Amortisation (₹ Cr)	—	1,133	737	615	433	190
(–) TLA Cash Sweep (₹ Cr)	—	1,503	78	598	1,185	1,079
TLA — Closing Balance (₹ Cr)	—	**4,916**	**4,101**	**2,888**	**1,270**	**0**
TLA Interest Expense (₹ Cr)	—	629	409	341	240	106
TLB — Opening Balance (₹ Cr)	3,776	3,776	3,587	3,407	3,237	3,075
(–) TLB Scheduled Repayment (5%/yr, ₹ Cr)	—	189	179	170	162	154
(–) TLB Cash Sweep (₹ Cr)	—	0	0	0	0	0
TLB — Closing Balance (₹ Cr)	—	**3,587**	**3,407**	**3,237**	**3,075**	**2,921**
TLB Interest Expense (₹ Cr)	—	368	350	332	316	300
RCF — Opening Drawn Balance (₹ Cr)	1,259					
RCF — Closing Balance (unchanged, ₹ Cr)	—	1,259	1,259	1,259	1,259	1,259
RCF Interest Expense (₹ Cr)	—	107	107	107	107	107
Sub Notes — Opening Balance (₹ Cr)	2,517	2,517	2,517	2,517	2,517	2,517
(+) PIK Interest Accrual (0% base case, ₹ Cr)	—	0	0	0	0	0
Sub Notes — Closing Balance (₹ Cr)	—	2,517	2,517	2,517	2,517	2,517
Sub Notes Cash Interest Expense (₹ Cr)	—	327	327	327	327	327
Total Gross Debt (₹ Cr)	—	**12,278**	**11,283**	**9,900**	**8,120**	**6,697**
Total Cash Interest Expense (₹ Cr)	—	**1,431**	**1,193**	**1,108**	**990**	**840**

III. FREE CASH FLOW & DEBT PAYDOWN (Base Scenario)						
EBITDA (₹ Cr)	—	2,815	3,246	3,709	4,165	4,617
(–) Capex (₹ Cr)	—	483	519	553	581	622
(–) Δ NWC (₹ Cr)	—	138	143	145	161	160
(–) Cash Interest Paid (₹ Cr)	—	1,431	1,193	1,108	990	840
(–) Cash Taxes (₹ Cr)	—	240	396	519	652	789
(–) Mandatory Debt Repayment (TLA+TLB, ₹ Cr)	—	1,321	917	785	595	344
FCF pre-Sweep (₹ Cr)	—	**-797**	**78**	**598**	**1,185**	**1,863**
(–) Cash Sweep to TLA (₹ Cr)		1,503	78	598	1,185	1,079
Ending Cash Balance (₹ Cr)	—	200	200	200	200	984
Net Debt (Gross Debt – Cash, ₹ Cr)	12,602	**12,078**	**11,083**	**9,700**	**7,920**	**5,713**

IV. COVENANT TESTING (Red = Breach)						
Covenant	**Threshold**	**Y1**	**Y2**	**Y3**	**Y4**	**Y5**
Net Leverage (Net Debt / EBITDA ≤ 5.0x)	5.0x	4.3x	3.4x	2.6x	1.9x	1.2x
→ Breach Flag	—	OK	OK	OK	OK	OK
Interest Coverage (EBITDA / Interest ≥ 2.5x)	2.5x	2.0x	2.7x	3.3x	4.2x	5.5x
→ Breach Flag	—	BREACH	OK	OK	OK	OK

MANKIND PHARMA — LBO RETURNS ANALYSIS

Exit Year 3 / 4 / 5 × Downside / Base / Upside | MOIC & IRR

I. EXIT EBITDA BY SCENARIO & YEAR

Exit EBITDA (₹ Cr)	Downside	Base	Upside
Exit EBITDA at Y3 (₹ Cr)	3,081	3,709	4,281
Exit EBITDA at Y4 (₹ Cr)	3,341	4,165	4,945
Exit EBITDA at Y5 (₹ Cr)	3,624	4,617	5,618

II. NET DEBT AT EXIT BY YEAR (Base Scenario; apply across)

Note: Net Debt at exit pulled from LBO sheet Base waterfall	
Net Debt at Y3 exit (₹ Cr) — Base	9,700
Net Debt at Y4 exit (₹ Cr) — Base	7,920
Net Debt at Y5 exit (₹ Cr) — Base	5,713

III. EQUITY PROCEEDS & RETURNS (Exit Year × Scenario)

Metric	Downside Y3	Downside Y4	Downside Y5	Base Y3	Base Y4	Base Y5	Upside Y3	Upside Y4	Upside Y5
Exit EV (₹ Cr)	61,613	66,826	72,479	89,005	99,958	110,806	119,875	138,447	157,291
Equity Proceeds (₹ Cr)	51,913	58,906	66,766	79,305	92,037	105,092	110,175	130,526	151,578
MOIC (x)	**1.31x**	**1.49x**	**1.69x**	**1.83x**	**2.12x**	**2.43x**	**2.28x**	**2.70x**	**3.13x**
IRR (%)	**9.5%**	**10.5%**	**11.1%**	**22.3%**	**20.7%**	**19.4%**	**31.5%**	**28.1%**	**25.6%**
Mgmt MOIC (x)	0.98x	1.11x	1.26x	1.37x	1.59x	1.81x	1.75x	2.07x	2.41x

IV. 5×5 SENSITIVITY — MOIC | Exit Multiple (rows) × Exit Year (cols) | Base Scenario

Exit Mult \ Exit Yr →	Y2	Y3	Y4	Y5	Y6
18.0x	1.09x	1.32x	1.55x	1.79x	1.98x
20.0x	1.24x	1.49x	1.74x	2.00x	2.21x
24.0x	1.54x	1.83x	2.12x	2.43x	2.68x
26.0x	1.69x	2.00x	2.32x	2.64x	2.92x
28.0x	1.84x	2.17x	2.51x	2.85x	3.15x

IV. 5×5 SENSITIVITY — IRR | Exit Multiple (rows) × Exit Year (cols) | Base Scenario

Exit Mult \ Exit Yr →	Y2	Y3	Y4	Y5	Y6
18.0x	4.5%	9.6%	11.5%	12.3%	12.0%
20.0x	11.5%	14.2%	14.8%	14.9%	14.2%
24.0x	24.2%	22.3%	20.7%	19.4%	17.9%
26.0x	30.1%	26.0%	23.4%	21.4%	19.5%
28.0x	35.7%	29.5%	25.9%	23.3%	21.1%